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MORTGAGE INDUSTRY COMPLIANCE

Over the years, numerous laws have been enacted by Congress to protect the consumer and prevent discrimination during and after the process of obtaining a mortgage. As such it is vitally important that all lenders participating in the lending of federally related mortgage loans, whether you are involved in the retail or wholesale lending of such loans, be familiar with the laws that govern our industry. In many cases non-compliance with these laws and regulations may carry severe penalties and can result in costly liability actions and criminal prosecution for the parties involved as well as class action lawsuits that affect the industry as a whole.

Flagstar requests that all of our Brokers and Correspondents, including underwriters, originators, and processors be familiar with the impact and importance of these laws in their area of responsibility. The Loan Purchase Agreement, Wholesale Legal Guide and this Compliance Manual require that all loans offered for sale be in full compliance with all applicable federal, state and local statutes and regulations. State and local laws and regulations will apply, depending on your location.

CAUTION: These laws are extremely complex, very detailed and frequently amended. Accordingly, Flagstar does not warrant the accuracy of the information provided concerning these laws and regulations. These guidelines are not in any way a substitute for the Wholesale Broker or Correspondent's own compliance procedures. You are urged to consult with an attorney should you have any compliance questions.

FLAGSTAR BANK'S HIGH COST LOAN POLICY

Flagstar Bank's predatory lending software completes a verification for compliance with federal, state, local, municipal and secondary market high cost, predatory lending laws, statutes, ordinances and policies at the time loan documents are requested through Web Based Closing Documents (WBCD) and at the time funds are requested. Please note, broker/correspondents are responsible for the compliance of their loans, and may be required to make restitution, even where a loan passes Flagstar's compliance verifications in Funding, and is later determined to need restitution.

NOTE: Flagstar Bank will not fund or purchase any mortgage loan that is defined as "high cost" or "predatory" under any federal, state, local, municipal and secondary market law, statute, ordinance or policy.

REAL ESTATE SETTLEMENT PROCEDURES ACT (RESPA) – REGULATION X

The Real Estate Settlement Procedures Act (RESPA), which was implemented as Regulation X, was first enacted in 1974. The law was enacted to change the settlement process for residential real estate to result in more effective disclosures of the settlement costs of the transaction to both homebuyers and sellers. The law also provided guidelines as to what fees and charges were not permissible by defining illegal kickbacks or referral fees that unnecessarily increased the cost of settlement services and by reducing the amounts that homebuyers were required to place in escrow accounts.

Flagstar Bank requires that all loans that we purchase be in compliance with the Real Estate Settlement Procedures Act (RESPA). The following is a broad overview of RESPA:

SECTION 8 – PROHIBITION AGAINST KICKBACKS AND UNEARNED FEES

Section 8 of RESPA prohibits the illegal use of kickbacks and unearned fees in exchange for a referral of settlement service business in a mortgage transaction. These kickbacks, and/or unearned fees, can be received by anyone involved in the loan process, including the lender, or any applicable third party (i.e. appraisers, flood vendors, title insurance companies, credit service vendors, tax service vendors, closing

agents, etc.) and are prohibited under RESPA. RESPA mandates that all fees be correctly disclosed on the Loan Estimate (LE) and Closing Disclosure (CD) that an actual service be performed in conjunction with the payment of a fee, and that the amount of the fee bears a reasonable relationship to the value of the service that was performed.

WARNING: HUD and CFPB have made clear that Section 8 of RESPA is taken very seriously and pursues any allegations of violations aggressively.

GOOD FAITH ESTIMATE (GFE) – APPLICABLE FOR APPLICATIONS ON OR BEFORE OCTOBER 2, 2015 OR NON TRID EFFECTIVE LOANS

HUD's amendment to Regulation X went into effect for all loan applications taken on or after January 1, 2010, and for all loans with applications prior to January 1, 2010, but that have a GFE redisclosure after January 1, 2010.

HUD's amendment to Regulation X furthers RESPA's purposes by requiring more timely and effective disclosure to consumers related to mortgage settlement costs for federally related mortgage loans. The changes made by the final rule are designed to protect consumers from unnecessarily high settlement costs by taking steps to:

- Improve and standardize the GFE form to make it easier to use for shopping among settlement service providers
- Ensure that page 1 of the GFE provides a clear summary of the loan terms and total settlement charges so that borrowers will be able to use the GFE to identify a particular loan product and comparison shop among loan originators
- Provide more accurate estimates of costs of settlement services shown on the GFE
- Improve disclosure of premiums to help borrowers understand how premium can affect borrower's settlement charges
- Facilitate comparison of the GFE and the HUD-1/HUD-1A Settlement Statements
- Ensure that at settlement borrowers are aware of final costs as they relate to their particular mortgage loan and settlement transaction
- Clarify HUD-1 instructions
- Expressly state that RESPA permits the listing of an average charge on the HUD-1
- Strengthen the prohibition against requiring the use of affiliated businesses

When the GFE must be disclosed:

- Originators must deliver or mail a GFE to the applicant no later than 3 business days after receiving an application or information sufficient to complete an application. Failure to provide a GFE as required is a violation of Section 5 of RESPA. If a loan originator denies the loan, or the applicant withdraws the application before the end of the three-business day period after application, the loan originator is not required to issue a GFE.
- The new HUD rule defines an application as "the submission of a borrower's financial information in anticipation of a credit decision relating to a mortgage loan".
- Applications must include the following:
 - Borrower's name
 - Social security number
 - Property address

- Gross monthly income
- Borrowers information on the house price or best estimate of the value of the property
- Amount of the mortgage loan sought

It is assumed that if you provide a GFE that you have acquired all of the above necessary information.

WRITTEN LIST OF PROVIDERS

When a loan originator permits a borrower to shop for third-party settlement services, the loan originator must provide the borrower with a written list of settlement services providers at the time of the GFE, on a separate sheet of paper.

ALLOWABLE FEES BEFORE ISSUING A GFE

Prior to issuing a GFE, the only fee that may be collected is a credit report fee. Please remember that you also must manage RESPA in conjunction with MDIA, which outlines other requirements in regards to fee disclosures. For more information on MDIA please reference *Mortgage Disclosure Improvement Act*, [Doc. #4812](#).

EXPIRATION OF THE ORIGINAL LE

If a borrower does not express intent to continue with an application within 10 business days after the LE is provided, or such longer time specified by the loan originator, the loan originator is no longer bound by the LE.

IMPORTANT DATES SECTION

The final rule provides that the interest rate stated on the GFE will be available until a date set by the loan originator for the loan. HUD does not require that the interest rate be available for any specific length of time. After that time period, the interest rate, the interest related charges, and loan terms, including some of the loan originator charges, the per diem interest, and the monthly payment estimate for the loan could change until the interest rate is locked. The final rule also provides that the estimate for all other settlement charges and loan terms must be available for 10 business days from when the GFE is provided, but could remain available longer if the loan originator chooses to extend the period of availability.

EXPIRATION OF THE ORIGINAL GFE

If a borrower does not express intent to continue with an application within 10 business days after the GFE is provided, or such longer time specified by the loan originator, the loan originator is no longer bound by the GFE.

TRADEOFF TABLE

A loan originator is required to complete the left-hand column of the table that describes the loan offered in the GFE. They however are not required to complete the remaining sections in the Tradeoff table.

TOLERANCES

The GFE is your best estimate of the final settlement charges. One of the main goals of HUD's final rule is to increase the accuracy of the GFE in forecasting the final settlement charges. To enforce the accuracy of the GFE, the new rule outlines specific charges and the allowable tolerances they can be from the final settlement (HUD-1).

- Charges that cannot increase at settlement at all (0% tolerance)
 - Your origination charge

- Borrower's credit or charge (points) for the specific interest rate chosen (after loan is locked)
 - Borrower's adjusted origination charges (after loan is locked)
 - Transfer taxes
- Charges that can increase up to 10%
 - Required services that you select
 - Title services and lenders title insurance
 - Owner's title insurance
 - Government recording charges if borrower required to pay
- Charges that can change at settlement
 - Initial deposit on borrower's escrow account
 - Daily interest charge
 - Homeowner's insurance

There are no tolerance rules associated to lowering the fees, but in such a case, redisclosure of the GFE should be made if at all possible.

CHANGED CIRCUMSTANCES

Once a GFE has been issued, the fees may only increase in the event that there is a valid changed circumstance. Changed circumstances are defined as:

- Information used to provide the GFE changes or is inaccurate including credit quality, loan amount, or property value;
- New information particular to the borrowers or transaction that was not used to provide the GFE including rate and/or loan term changes or addition/removal of borrowers; or
- Other circumstances that are particular to borrower or transactions including boundary disputes, need for flood insurance, or environmental problems;
- Acts of God, war, disaster, or other emergency.

Only the changes related to the changed circumstance may be revised. A changed circumstance does not allow other, non-effected fees, to be changed. If a revised GFE is to be provided, the loan originator must do so within 3 business days of receiving information sufficient to establish a changed circumstance. The originator must also complete the changed circumstance section in the Disclosure Compliance module in a timely fashion for review by Flagstar Bank. Any time a revised GFE is issued to the borrower(s), the originator must document the reason that a new GFE was provided and retain documentation of any reasons for providing a new GFE for no less than 3 years after settlement. Flagstar may require correspondents to provide additional supporting documentation on all changed circumstances prior to purchase.

SELLER AND LENDER CREDITS

If a fee is typically paid for by the seller, you are not required to list the fee on the GFE, with the exception of Owners Title Insurance. However, this will be at your discretion to determine. Please note, if the fee is borrower paid on the HUD-1, it will be subject to the applicable tolerance for the corresponding GFE block.

HUD-1/1A SETTLEMENT STATEMENT

The RESPA Final Rule aims to simplify the HUD-1 and enforce tolerances between what originators disclose on the GFE and the Final HUD-1.

The use of a HUD-1/1A Settlement Statement is required in every settlement involving a federally related mortgage loan transaction. Either the HUD-1 or the HUD-1A, as appropriate, shall be used for every RESPA-covered transaction, unless its use is specifically exempted. The use of the HUD-1 or HUD-1A is exempted for open-end lines of credit (home-equity plans) covered by the Truth in Lending Act and Regulation Z. On all table funded transactions Flagstar Bank must be listed as the lender on the HUD-1.

HUD-1 SIGNATURE REQUIREMENTS

For information regarding Flagstar Bank's HUD-1 signature requirements please reference *Settlement/Closing Requirements*, [Doc. #4601](#).

PAID OUTSIDE OF CLOSING

HUD's final rule requires that P.O.C. items be listed on the HUD-1 by the settlement agent with an indication whether P.O.C. items are paid by the borrower, seller, or other party by marking the items paid for by whoever made the payment identified in parentheses, such as P.O.C. (borrower) or P.O.C. (B*) may also represent P.O.C. (borrower) and P.O.C. (S*) may also represent P.O.C. (seller) as long as a footnote is added to the HUD-1 clearly noting the party paying for the item such as *Paid outside of closing by borrower or *Paid outside of closing by seller.

ADDENDUM TO THE HUD-1

An additional page may be attached to the HUD-1 to add sequentially numbered lines as needed to accommodate the complete listing of all items required to be shown on the HUD-1.

The Final Rule clarifies that closing cost credits provided by the seller, lender or realtor should be shown as lump sum credits on page 1 of the HUD-1.

SECTION 5 VIOLATIONS OF RESPA

If any charges at settlement exceed the charges listed on the LE by more than the permitted tolerances, the loan originator may cure the tolerance violation by reimbursing to the borrower the amount by which the tolerance was exceeded, at settlement or within 60 calendar days after settlement.

- Table funded transactions after funding: Flagstar Bank will process the restitution payment to the borrower. Where Regulation Z's loan originator compensation rule allows, the broker's proceeds may be net funded.
- Correspondent transactions prior to purchase/funding: The correspondent must process restitution to the borrower and provide the following documentation
 - Copy of a letter to the borrower; AND
 - Copy of the check; AND
 - Tracking receipt information; AND
 - Revised HUD-1 from the settlement agent showing the restitution / cure to the tolerance violation within 30 days of the loan closing.

The lender is responsible for informing the settlement agent of any changes that would necessitate a revised HUD-1. The settlement agent must correct the HUD-1 and provide copies of the corrected HUD-1 to the borrower, seller, and lender, as applicable.

Please note, broker/correspondents are responsible for the compliance of their loans, and may be required to make restitution, even where a loan passes Flagstar's compliance verifications in Funding, and is later determined to need restitution.

SERVICING DISCLOSURE STATEMENT

At the time an application for a mortgage loan is submitted, or within 3 business days after submission of the application, the lender or broker shall provide to each person who applies for such a loan a Servicing Disclosure Statement. If co-applicants indicate the same address on their application, one copy delivered to that address is sufficient. If different addresses are shown by co-applicants on the application, a copy must be delivered to each of the co-applicants. In the event the borrower is denied credit within the 3 business-day period, no Servicing Disclosure Statement is required to be delivered.

The Servicing Disclosure Statement must indicate whether the servicing of the loan may be assigned, sold, or transferred to any other person at any time while the loan is outstanding.

The Servicing Disclosure Statement requirement is integrated into the Loan Estimate for applications on or after October 3, 2015 and will not need to be provided separately.

HOMEOWNERSHIP COUNSELING DISCLOSURE– APPLICABLE FOR APPLICATIONS BEFORE OR AFTER OCTOBER 3, 2015

Effective with applications taken on or after January 10, 2014 the originator shall provide applicants with a written list of homeownership counseling organizations within three (3) business days of receiving the application. The list of counseling agencies can be generating using either a tool developed and maintained by the CFPB to generate the list (<http://www.consumerfinance.gov/find-a-housing-counselor>) or independently using the same HUD data that the CFPB uses on HUD-approved counseling agencies, in accordance with the CFPB's list requirements.

The list of counseling agencies provided must contain the following information:

- The disclosure must list the ten counseling agencies that are closest to the centroid of the zip code of the borrower's current address, in descending order of proximity to the centroid.
- The list of homeownership counseling organizations disclosed must be obtained no earlier than 30 days prior to the time when the list is provided to the consumer from either the CFPB website or by data made available by the Bureau or HUD for lenders to use in generating the disclosure.
- The disclosure must contain the following text: "The counseling agencies on this list are approved by the U.S. Department of Housing and Urban Development (HUD), and they can offer independent advice about whether a particular set of mortgage loan terms is a good fit based on your objectives and circumstances, often at little or no cost to you. This list shows you several approved agencies in your area. You can find other approved counseling agencies at the Consumer Financial Protection Bureau's (CFPB) website: consumerfinance.gov/mortgagehelp or by calling 1-855-411-CFPB (2372). You can also access a list of nationwide HUD-approved counseling intermediaries at http://portal.hud.gov/hudportal/HUD?src=/ohc_nint."
- The following data fields are required for each homeownership counseling agency:
 - Agency Name
 - Website URL
 - Phone Number
 - Email Address

- Street Address
- City, State, Zip
- Counseling Services Provided
- Languages Spoken

TRUTH IN LENDING ACT (TILA) - REGULATION Z

Congress enacted the Truth in Lending Act in 1969 to assure a meaningful disclosure of credit terms so that consumers would be able to more readily compare the various terms available. TILA was implemented by Regulation Z. "Truth in Lending" and "Regulation Z" are often used interchangeably. On July 30, 2008, a final rule was published amending Regulation Z, which implements the Truth in Lending Act (TILA) and the Home Ownership and Equity Protection Act (HOEPA). Also on July 30, 2008, Congress enacted the Housing and Economic Recovery Act of 2008, which included amendments to TILA, known as the Mortgage Disclosure Improvement Act of 2008 (MDIA). The Dodd-Frank Wall Street Reform and Consumer Protection Act (Dodd-Frank Act) directed the Consumer Financial Protection Bureau (CFPB) to integrate the mortgage loan disclosures under TILA and RESPA Sections 4 and 5. The CFPB finalized the rule with new, Integrated Disclosures under the Real Estate Settlement Procedures Act (Regulation X) and the Truth in Lending Act (Regulation Z) and is effective with applications on or after October 3, 2015.

TRUTH IN LENDING DISCLOSURE – APPLICABLE FOR APPLICATIONS ON OR BEFORE OCTOBER 2, 2015 OR NON TRID EFFECTIVE LOANS

The Mortgage Disclosure Improvement Act (MDIA) is effective for all loans with an application taken on or after July 30, 2009 and requires early, transaction-specific disclosures for mortgage loans secured by dwellings other than the consumer's principal dwelling and requires waiting periods between the time when disclosures are given and consummation of the mortgage transaction. One of the purposes of the Truth in Lending Act is to promote the informed use of consumer credit by requiring disclosures about its terms and cost. The act requires creditors to disclose the cost of credit as a dollar amount (the finance charge) and as an annual percentage rate (APR). Flagstar Bank will require compliance for both 2nd home and investment properties.

The final rule amending Regulation Z requires creditors to make good faith estimates of the required mortgage disclosures, and deliver or place them in the mail, no later than three business days after receiving a consumer's application for a dwelling-secured closed-end loan. The disclosures must be provided before the consumer pays any fee, other than a bona fide and reasonable fee for obtaining the consumer's credit history.

Even though TILA requires different types of disclosures for different loans types, there are four material disclosures that must be provided for every type of closed-end mortgage loan transaction.

- Annual Percentage Rate (APR). This is the cost of credit expressed as a yearly percentage rate.
- Finance Charge. (Total Finance Charge). This is the cost of credit expressed as a dollar amount.
- Amount Financed. This is the principal loan amount minus any fees paid by the borrower included in the finance charge.
- Total of Payments. This is the total amount a borrower will pay if all minimum required payments are made as scheduled. This includes any mortgage insurance premiums.

EXAMPLE OF A CLOSED-END TRUTH IN LENDING DISCLOSURE

The below example shows a typical layout of the five (5) material disclosures for the TIL disclosure. After the example is an explanation of each one of these material disclosures. The explanations are not in the same order as the information is disclosed, but to better understand how the information is derived, the explanations are in the order in which the calculations are determined.

ANNUAL PERCENTAGE RATE	FINANCE CHARGE	Amount Financed	Total of Payments	☐ TOTAL SALES PRICE
The cost of your credit as a yearly rate.	The dollar amount the credit will cost you.	The amount of credit provided to you or on your behalf.	The amount you will have paid after you have made all payments as scheduled.	The total cost of your purchase on credit, including your downpayment of
5.019%	\$161,523.76	\$172,421.26	\$333,945.02	N/A

- Total of Payments - The total payments is the aggregate total of all the scheduled payments to be made by the borrower on the loan as listed in the payment stream. This is derived by multiplying the number of payments times the amount of the payment for each scheduled payment within the stream and adding those results. For the example above the Total Payments would be:

$$24 \times \$1,450.36 = \$34,808.64$$

$$335 \times \$1,521.34 = \$509,648.90$$

$$1 \times \$1,518.78 = \$1,518.78$$

$$\$34,808.64 + \$509,648.90 + \$1,518.78 = \mathbf{\$545,976.32}$$

- Amount Financed - The amount financed is determined by reducing the principal loan amount (note amount) by the amount of any fees paid by the borrower, which are determined to be included in the finance charge pursuant to Regulation Z. The loan amount is reduced by the prepaid finance charges so the 'total' finance charge amount increases by the prepaid finance charges amount. In the above example, the Loan Amount is \$218,000.00, the prepaid finance charges are \$1,779.78 making the Amount Financed **\$216,220.22**.
- Finance Charge - The finance charge is the amount the credit will cost the borrower stated in a dollar amount. This dollar amount is determined by taking the total payments minus the amount financed. For the example above the finance charge would be: $\$545,976.32 - 216,220.22 = \mathbf{\$329,756.10}$

Annual Percentage Rate - The annual percentage rate is the amount the credit will cost the borrower stated as a percentage rate. This is calculated on an annual basis and takes the amortization of the loan into account.

OPEN- END TRUTH IN LENDING DISCLOSURE

Under TILA, creditors are required to disclose to an applicant the terms and cost of the credit that he/she has applied for before he/she becomes contractually liable on the loan.

To satisfy the Truth In Lending requirements for an open-end transaction, the creditors are required to provide an initial disclosure of the terms and cost of the credit and the Home Equity brochure to the borrower.

The Home Equity Line of Credit Disclosure, along with the Home Equity Brochure, *What You Should Know About Home Equity Lines of Credit*, must be provided at the time an application is provided to an applicant. If the application is not received in person, the disclosure and brochure must be delivered or placed in the mail to an applicant not later than 3 business days after receipt of the application.

If the application is received by a third party, the requirements are as follows:

- The brochure must be provided at the time of application.
- If the third party has the Flagstar Home Equity Line of Credit Disclosure, the disclosure must be provided at time of application or within 3 business days of receipt of application if the application is not received in person.

- If the third party does not have the Flagstar disclosure, Flagstar must provide the Home Equity Line of Credit Disclosure within 3 days of receipt of the application.

FLAGSTAR BANK'S TIL DISCLOSURE POLICY

If a broker/correspondent uses Flagstar's Web Based Closing Documents (WBCD) it is still their responsibility to insure all fees are included and properly represented on the TIL Disclosure or Addendum to Note and the HUD-1 Settlement Statement. If a broker/correspondent prepares their own closing documents not only are they responsible for insuring that all fees are properly disclosed on the TIL Disclosure and HUD-1 Settlement Statement, but also, that all calculations are correct.

Regulation Z provides that a creditor will have no liability for failure to make accurate disclosures if, within 60 days after discovering an error, the creditor notifies the Borrower and makes whatever necessary adjustments to correct the error. In order to rely on this provision, if any amount is under-disclosed on the final TIL Disclosure or Addendum to Note, Flagstar Bank will make restitution to the borrower for the under-disclosed amount. Broker/Correspondents will be required to reimburse Flagstar for any restitution amounts that Flagstar has made to the borrower. Please note that broker/correspondents are responsible to reimburse restitution even where the loan may have passed Flagstar's pre-funding authorization and is later found to require restitution.

Please refer to *Truth in Lending Disclosures* for more information regarding APR and Non-APR fees.

Closing in the Name of Flagstar Bank

For all loans closing in the name of Flagstar Bank, customers are required to generate all Truth in Lending documents from the Disclosure Compliance module in Loantrac.

Massachusetts, New York & Rhode Island Properties Closing in the Name of Flagstar Bank

For all loans with a property in Massachusetts, New York and Rhode Island that will close in the name of Flagstar Bank, Flagstar Bank must send the initial and redisclosed (if applicable) TIL to the borrower(s), therefore customers are required to provide information within the Disclosure Compliance screen that will allow the generation of TILs.

Truth in Lending Waiting Periods

- Initial TIL - There must be a seven business-day waiting period between the date the initial TIL disclosure is provided to the consumer and the closing / signing date of the loan.
- Redisclosed / Final TIL - There must be a three business-day waiting period between the date a redisclosed / final TIL is received by the consumer and the closing / signing date of the loan. If the APR at closing / signing varies by more than .125% from the most recent TIL provided to the borrower, the borrower must be in receipt of a new redisclosed / final TIL at least three business days prior to the closing / signing.

The initial and redisclosed / final TIL disclosures shall each contain the following statement:

"You are not required to complete this agreement merely because you have received these disclosures or signed a loan application."

Delivery Methods

You can deliver the TIL via email, fax, mail, or in person. The standard receipt times are as follows:

- Face to Face – Same Day
- Email / Fax – Same Day

- USPS First-Class Mail – 3 Days
- Overnight Mail – Date of tracking receipt

You should retain evidence of receipt by borrower(s) when delivering a TIL disclosure in all methods above except when using USPS first-class mail.

TILA-RESPA INTEGRATED DISCLOSURE RULE (TRID) – APPLICABLE FOR APPLICATIONS ON OR AFTER OCTOBER 3, 2015

The TILA-RESPA rule consolidates four existing disclosures required under TILA and RESPA for closed-end credit transactions secured by real property into two forms:

- Loan Estimate (LE) – must be delivered or placed in the mail no later than the third business day after receiving the consumer's application or information sufficient to complete an application (the presence of all six data elements identified below).
- Closing Disclosure (CD) – must be provided to the consumer at least three business days prior to consummation

The TILA-RESPA Integrated Disclosure Rule is effective for all applications on or after October 3, 2015. The GFE, TIL and HUD-1 will be required to be used for any application on or before October 2, 2015.

DEFINITIONS

- Application – the submission of the following six pieces of information:
 - The consumer's name;
 - The consumer's income;
 - The consumer's social security number to obtain a credit report;
 - The property address;
 - An estimate of the value of the property; and
 - The mortgage loan amount sought

This definition of application does not prevent a creditor from collecting additional information it deems necessary in connection with the request for the extension of credit. However, once a creditor has received the six pieces of information listed above, it has an application for purposes of the requirement for delivery of the LE to the consumer, including the three-business day timing requirement.

- Business day:
 - For purposes of providing the LE, a business day is a day on which the creditor's offices are open to the public for carrying out substantially all of its business functions. Flagstar's definition of a business day for purposes of providing the LE does not include Saturdays, Sundays or legal public holidays.
 - For purposes of counting days to ensure the consumer receives the CD on time, a business day means all calendar days except Sundays and legal public holidays.
- Consummation - the time that a consumer becomes contractually obligated on the credit transaction, and may not necessarily coincide with the settlement or closing of the entire real estate transaction.
- New construction loan - a loan for the purchase of a home that is not yet constructed or the purchase of a new home where construction is currently underway, not a loan for financing

home improvement, remodeling, or adding to an existing structure. Nor is it a loan on a home for which a use and occupancy permit has been issued prior to the issuance of a LE.

COVERAGE

The TILA-RESPA rule applies to most closed-end consumer credit transactions secured by real property and does not apply to the following:

- HELOCs
- Reverse mortgages
- Chattel-dwelling loans, such as loans secured by a mobile home or by a dwelling that is not attached to real property

Certain types of loans that are currently subject to TILA but not RESPA are subject to the TILA-RESPA rule's integrated disclosure requirements, including:

- Construction-only loans
- Loans secured by vacant land or by 25 or more acres
- Credit extended to certain trusts for tax or estate planning purposes

Flagstar Bank Procedures

Flagstar Bank has applied the rule to all products with the exception of HELOCs, reverse mortgages and chattel-dwelling loans. Flagstar has applied the TRID rule to investment properties for all transactions funded and/or purchased. Correspondents are required to apply the rule to investment properties for any loan sold to Flagstar.

The *Application Taken Date* will be updated based on the presence of the six pieces of information needed for an application (borrower name, income, social security number, property address, estimated value of the property and the mortgage loan amount sought) when registering a loan. Once the 6 pieces of information are present, originators will be required to generate/request an LE.

RESTRICTIONS

The TILA-RESPA rule includes some new restrictions on certain activities prior to the consumer's receipt of the LE. These activities include:

- Imposing fees on a consumer before the consumer has received the LE and indicated an intent to proceed with the transaction, with the exception of a bona fide and reasonable fee for obtaining a credit report.
- Providing written estimates of terms or costs specific to consumers before they receive the LE without a written statement informing the consumer that the terms and costs may change
- Requiring the submission of documents verifying information related to the consumers application before providing the LE

Flagstar Bank Procedures - Table Funded Transactions

An intent to proceed disclosure will be issued to the borrower(s) along with the LE and will be required to be signed and provided to Flagstar Bank for verification prior to the ability to order an appraisal.

WRITTEN ESTIMATES/FEE WORKSHEETS

Written estimates of terms or costs may be provided to the borrower(s) before the borrower(s) receive the LE provided it meets the following:

- Must clearly and conspicuously state at the top of the front of the first page of the written estimate "Your actual rate, payment, and costs could be higher. Get an official Loan Estimate before choosing a loan."
- Must be in font size of no smaller than 12-point font
- May not have headings, content, and format similar to the LE or the CD.

Flagstar Bank Procedures - Table Funded and Correspondent Transactions

Originators providing a written estimate of fees must comply with the above requirements.

LOAN ESTIMATE (LE)

The creditor is required to provide the consumer with good-faith estimates of credit costs and transaction terms on the LE. The creditor is required to provide the LE within three business days of the receipt of the consumer's loan application. The LE must:

- Contain a good faith estimate of credit costs and transaction terms. If any information necessary for an accurate disclosure is unknown, the creditor must make the disclosure based on the best information reasonably available at the time the disclosure is provided to the consumer, and use due diligence in obtaining the information.
- Disclose only the information required, as shown in the CFPB's form in appendix H-24.
- Satisfy the timing and method of delivery requirements. The creditor is responsible for delivering the LE or placing it in the mail no later than the third business day after receiving the application. The LE must also be delivered or placed in the mail no later than the seventh business day before consummation of the transaction. The creditor is also responsible for ensuring that the LE and its delivery meet the content, delivery and timing requirements required in the rule.
- If a mortgage broker receives a consumer's application, the mortgage broker may provide the LE to the consumer on the creditor's behalf however, the creditor is legally responsible for any errors or defects. While mortgage brokers may provide a LE, it is Flagstar's policy that all LE's will be issued by Flagstar Bank on table funded transactions.
- If the creditor determines within the three-business day period that the consumer's application will not or cannot be approved on the terms requested or if the consumer withdraws the application within that period, the creditor does not have to provide the LE. However, if the creditor does not provide the LE, it will not have complied with the requirements if it later consummates the transaction on the terms originally applied for by the consumer. If a consumer amends an application, the creditor is that required to deliver or mail the LE within three business days of receiving the amended or resubmitted application.
- Only use revised or corrected LE's when specific requirements are met. Creditors generally may not issue revisions to LE's because they later discover technical errors, miscalculations, or underestimates for charges. Creditors are permitted to issue revised LE's only in certain situations such as when circumstances result in increased charges.

Flagstar Bank Procedures - Table Funded Transactions

Flagstar Bank will generate and deliver all LE's to the borrower on table funded transactions. We will continue to rely on our broker customers to provide us accurate and timely information to

properly prepare the initial and any subsequent LE's. Brokers delivering loans to Flagstar are not authorized to issue LE's to the borrower. Issuing LE's on Flagstar loans could result in termination of our agreement.

Originators will be required to request an LE promptly upon receipt of the six pieces of information that constitutes an application by visiting the *Disclosure Management* module. Users will be required to enter in information within the module including but not limited to contact information for advisories, service providers for particular services and fee information. Flagstar will then review the information, make any necessary updates and deliver the LE to the borrower. If the LE hasn't been requested within 24 hours of receipt of the six pieces of information, Flagstar will generate the LE with the best information reasonably available.

LE's will be sent out via regular mail or electronically. In order to take advantage of electronic delivery, users will be required to enter in the borrower(s) email addresses when registering the loan or by entering the email addresses in the *Disclosure Management* module when requesting the LE. Please refer to *Electronic Delivery* below for more information.

Flagstar Bank Procedures – Correspondent Procedures

Correspondents are required to generate and deliver all LEs to the borrower in accordance with the rule. Flagstar will not require that the borrower sign any CD unless there is a signature line present on the form for them to do so.

GOOD FAITH REQUIREMENT

Creditors are responsible for ensuring that the figures stated in the LE are made in good faith and consistent with the best information reasonably available to the creditor at the time they are disclosed. Whether or not an LE was made in good faith is determined by calculating the difference between the estimated charges originally provided in the LE and the actual charges paid by or imposed on the consumer in the CD. If the charge exceeds the amount originally disclosed on the LE it is not in good faith, regardless of whether the creditor later discovers a technical error, miscalculation or underestimation of a charge. An LE is considered to be in good faith if the creditor charges the consumer less than the amount disclosed on the LE.

WRITTEN LIST OF PROVIDERS

If the consumer is permitted to shop for a settlement service, the creditor must provide the consumer with a written list of services for which the consumer can shop. The written list of providers is separate from the LE, must be provided no later than three business days after the creditor receives the application and the list must:

- Identify at least one available settlement service provider for each service; and
- State that the consumer may choose a different provider of that service

The settlement service providers identified on the written list must correspond to the settlement services for which the consumer can shop as disclosed on the LE. See model form [H-27\(A\)](#) provided by the CFPB in addition to a [sample written list of providers you can shop for](#).

The creditor may also identify on the written list of providers those services for which the consumer is not permitted to shop, as long as those services are clearly and conspicuously distinguished from those services for which the consumer is permitted to shop. See [H-27\(C\)](#) provided by the CFPB.

When a creditor allows a consumer to shop for a third-party service and the consumer chooses a service provider not identified on the list, the charge is not subject to a tolerance limitation.

Flagstar Bank Procedures - Table Funded Transactions

A written list of providers will be issued to the borrower(s) along with the LE. Originators will have the opportunity when generating/requesting an LE to enter in providers for additional services such as survey, pest inspections etc.

On cooperative properties, Flagstar requires the use of an approved settlement agent listed on *Approved Settlement Agents for Cooperatives*, [Doc. #4641](#) and therefore the borrower cannot shop for those services. A written list of providers will only be issued to the borrower(s) on cooperatives for any additional services entered such as survey, pest inspections etc.

Flagstar Bank Procedures – Correspondent Transactions

Correspondents will be required to provide Flagstar with a copy of the written list of providers if borrower(s) were allowed to shop for services(s).

Cooperative Properties

Flagstar requires the use of an approved settlement agent listed on *Approved Settlement Agents for Cooperatives*, [Doc. #4641](#) and therefore the borrower cannot shop for those services. A Written List of Providers should only be issued to the borrower(s) on cooperatives for any additional services they may be allowed to shop for.

TOLERANCES

A creditor may charge the consumer more than the amount disclosed on the LE in specific circumstances that are described below:

- Certain variations between the amount disclosed and the amount charged are expressly permitted by the TILA-RESPA rule
- The amount charged falls within tolerance thresholds (and the estimate is not for a zero-tolerance charge where variations are never permitted)
- Changed circumstances permit a revised LE or a CD that permits the charge to be changed

Charges that cannot increase at settlement at all (0% tolerance):

- Fees paid to the creditor, mortgage broker, or an affiliate of either;
- Fees paid to an unaffiliated third party if the creditor did not permit the consumer to shop for a third-party service provider for a settlement service; or
- Transfer taxes

Charges that can increase up to 10%:

- Charges for third-party services and recording fees paid by or imposed on the consumer are grouped together and subject to a 10% cumulative tolerance. This means the creditor may charge the consumer more than the amount disclosed on the LE for any of these charges so long as the total sum of the charges added together does not exceed the sum of all such charges disclosed on the LE by more than 10%.

Charges that can change at settlement:

For certain costs or terms, creditors are permitted to charge consumers more than the amount disclosed on the LE without any tolerance limitation. These charges are:

- Prepaid interest; property insurance premiums; amounts placed into an escrow, impound, reserve or similar account
- For services required by the creditor if the creditor permits the consumer to shop and the consumer selects a third-party service provider not on the creditors written list of providers.
- Charges paid to a third-party service provider for services not required by the creditor (may be paid to affiliates of the creditor).

Creditors may only charge consumers more than the amount disclosed when the original estimated charge, or lack of an estimated charge for a particular service, was based on the best information reasonably available to the creditor at the time the disclosure was provided.

If a service is not performed, the estimate for that charge should be removed from the total amount of estimated charges.

CHANGED CIRCUMSTANCES

Creditors generally are bound by the LE provided within three business days of the application, and may not issue revisions to Loan Estimates because they later discover technical errors, miscalculations, or underestimations of charges. Creditors are permitted to provide to the consumer revised LEs (and use them to compare estimated amounts to amounts actually charged for purposes of determining good faith) only in certain specific circumstances:

- Changed circumstances that occur after the LE is provided to the consumer cause estimated settlement charges to increase more than is permitted under the TILA-RESPA rule;
- Changed circumstances that occur after the LE is provided to the consumer affect the consumer's eligibility for the terms for which the consumer applied or the value of the security for the loan;
- Revisions to the credit terms or the settlement are requested by the consumer;
- The interest rate was not locked when the LE was provided, and locking the rate causes the points or lender credits disclosed on the LE to change. The creditor is required to provide a revised Loan Estimate no later than three business days after the date the interest rate is locked, and may use the revised LE to compare to points and lender credits charged;
- The consumer indicates an intent to proceed with the transaction more than 10 business days after the LE was originally provided; or
- The loan is a new construction loan, and settlement is delayed by more than 60 calendar days, if the original LE states clearly and conspicuously that at any time prior to 60 calendar days before consummation, the creditor may issue revised disclosures.

A changed circumstance for purposes of a revised LE is:

- An extraordinary event beyond the control of any interested party or other unexpected event specific to the consumer or transaction;
- Information specific to the consumer or transaction that the creditor relied upon when providing the LE and that was inaccurate or changed after the disclosures were provided;
- New information specific to the consumer or transaction that the creditor did not rely on when providing the LE.

A creditor may provide and use a revised LE redisclosing a settlement charge if changed circumstances cause the estimated charge to increase or, in the case of charges subject to the 10% cumulative tolerance, cause the sum of those charges to increase by more than the 10% tolerance.

A creditor may use a revised estimate of a charge if the consumer requests revisions to the credit terms or settlement that affect items disclosed on the LE and cause an estimated charge to increase. Providing a revised LE allows creditors to compare the updated figures for charges that have increased due to an event that allows for redisclosure to the amount actually charged for those services. If amounts decrease or increase only to an extent that does not exceed the applicable tolerance, the original LE is still deemed to be in good faith. Redisclosure is permissible in these circumstances, but will not reset the tolerances, and creditors must continue to measure the tolerances against the original LE.

Flagstar Bank Procedures – Table Funded Transactions

Specific events that occur during the loan process will trigger automated changed circumstances and will be accessible for viewing in the *Disclosure* module. Flagstar will review each changed circumstance to determine if the request is an acceptable change and/or if the change requires redisclosure to the borrower.

Flagstar Bank Procedures – Correspondent Transactions

Refer to the *Post Closing Loan Review Checklist*, [Doc. #3634](#) for a listing of required documents for review prior to purchase.

Channel Change

A business channel change due to a product change is not an authorized changed circumstance; therefore Flagstar must issue a new loan number when this occurs. This is common for originators that act as a correspondent on conventional loans but as a broker/sponsored originator on FHA loans. Below are the necessary steps to follow in the event that the borrower requests a product change that triggers a business channel change.

Correspondent channel to table funded channel:

- Prior to submission to underwriting
 - Correspondent must cancel the loan (if loan is locked) by completing the *Loan Cancel & Withdraw* module or by completing the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) and sending to Secondary Marketing
 - Correspondent will be required to contact Secondary Marketing to create a new loan and transfer the lock (if applicable) from the old loan to the new loan
 - Correspondent will need to issue ECOA notice per their compliance guidelines on loan that was cancelled
- File being underwritten by Flagstar
 - Correspondent must request the change by either uploading a new 1003/coversheet in Documents for the underwriter or cancelling the loan by completing the *Loan Cancel & Withdraw* module or sending the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) to Secondary Marketing
 - The underwriter will cancel/withdraw/deny the loan based on the specific circumstances of the loan

- Correspondent will be required to contact Secondary Marketing to create a new loan and transfer the lock (if applicable) from the old loan to the new loan
- Correspondent will need to issue ECOA notice per their compliance guidelines on loan that was cancelled

Table funded channel to correspondent channel:

- Prior to submission to underwriting
 - Originator must cancel the loan (if loan is locked) by completing the *Loan Cancel & Withdraw* module or by completing the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) and sending to Secondary Marketing
 - Originator will be required to contact Secondary Marketing to create a new loan and transfer the lock (if applicable) from the old loan to the new loan
- File being underwritten by Flagstar
 - Originator must request the change by either uploading a new 1003/coversheet in Documents for the underwriter or cancelling the loan by completing the *Loan Cancel & Withdraw* module or sending the *Loan Cancellation/Withdrawal Form*, [Doc. #3104](#) to Secondary Marketing
 - The underwriter will cancel/withdraw/deny the loan based on the specific circumstances of the loan
 - Originator will be required to contact Secondary Marketing to create a new loan and transfer the lock (if applicable) from the old loan to the new loan
 - Flagstar will issue ECOA notice to the borrower per our compliance guidelines on the loan that was cancelled

TIMING FOR REVISIONS TO LE'S

The creditor must deliver or place in the mail the revised LE to the consumer no later than three business days after receiving the information sufficient to establish that one of the reasons for the revision has occurred. The creditor may not provide a revised LE on or after the date it provides the CD.

The consumer must receive the revised LE no later than four business days prior to consummation. If the creditor is mailing the revised LE and relying upon the three-business day mailbox rule, the creditor would need to place in the mail the LE no later than seven business days before consummation of the transaction to allow three business days for receipt.

When a revised LE is provided in person, it is considered received by the consumer on the day it is provided. If it is mailed or delivered electronically, the consumer is considered to have received it three business days after it is delivered or placed in the mail. However, if the creditor has evidence that the consumer received the revised LE earlier than three business days after it is mailed or delivered, it may rely on that evidence and consider it to be received on that date.

If there are less than four business days in between the time a revised LE would have been required to be provided to the consumer and consummation, creditors may provide consumers with a CD reflecting any revised charges resulting from the changed circumstance and rely on those figures (rather than the amounts disclosed on the LE) for purposes of determining good faith and the applicable tolerance.

CLOSING DISCLOSURE (CD)

Creditors must provide a new final disclosure reflecting the actual terms of the transaction called the Closing Disclosure (CD). The creditor is required to ensure that the consumer receives the Closing Disclosure no later than three business days before consummation of the loan.

- The CD must contain the actual terms and costs of the transaction.
- The CD must be in writing and contain the information required in the rule as shown in the Bureau's form in appendix H-25.
- If the actual terms or costs of the transaction change prior to consummation, the creditor must provide a corrected disclosure that contains the actual terms of the transaction and complies with the other requirements, including the timing requirements, and requirements for providing corrected disclosures due to subsequent changes.
- If the creditor provides a corrected disclosure, an additional three-business-day waiting period prior to consummation may be required. The additional three-business-day waiting period requirement applies when there are:
 - Changes to the loan's APR by more than 0.125%;
 - Changes to the loan product; or
 - The addition of a prepayment penalty.

If other types of changes occur, creditors must ensure that the consumer receives a corrected CD at or before consummation.

Flagstar Bank Procedures – Table Funded Transactions

Flagstar Bank will deliver all CD's to the borrower on table funded transactions. No third parties including settlement agents are authorized to generate or issue CD's to borrowers on behalf of Flagstar.

Originators will be required to generate or request a CD from Flagstar. Originators can only request a CD from Flagstar if the loan is in an *Approved with Conditions* status and eligible for a CD or in a *Final Approval Clear to Close* status. CD requests can be made by visiting the *CD/Closing Services Request* module. Users will be required to enter information for Flagstar to complete the CD, including but not limited to information about the settlement agent, loan officer, real estate brokers and fees. Originators may be required to provide supporting documentation for fees charged. Originators are responsible for planning accordingly to fulfill requests to ensure the CD is sent by Flagstar three business days before consummation.

CD's will be sent out via regular mail or electronically once CD request has been completed and Flagstar has received all requested documents. Please refer to Electronic Delivery below for more information. Flagstar will determine the earliest possible closing date based on requirements above and availability of Flagstar's Closing Services Department. Flagstar will send the initial CD with a closing date calculated using the three-business day mailbox rule, regardless if the CD is actually sent via mail or delivered electronically. If Flagstar receives evidence that the borrower views an electronically delivered CD prior to the expiration of the three-business day mailbox rule, originators may have a one-time opportunity to request an earlier closing date provided there is availability in Flagstar Closing Services. A final CD will be delivered in the closing package prior to consummation.

Flagstar Bank Procedures - Correspondent Transactions

Correspondents are required to generate and deliver the CD(s) to the borrower(s) in accordance with the rule. Flagstar will not require that the borrower sign any CD unless there is a signature line present on the form for them to do so.

DELIVERY OF CD

The consumer must receive the CD no later than three business days before consummation. The creditor is responsible for ensuring that the CD meets the content, delivery, and timing requirements of the rule. The CD may be delivered via the following methods:

- By providing it to the consumer in person – considered received by the consumer on the day it is provided.
- By mail/email - considered received by the consumer three business days after it is delivered or placed in the mail. If the creditor has evidence that the consumer received the CD earlier than three business days after it is mailed or delivered, it may rely on that evidence and consider it to be received on that date.

Creditors may use electronic delivery methods subject to compliance with the consumer consent and other applicable provisions of the Electronic Signatures in Global and National Commerce Act.

The settlement agent is required to provide the seller with the CD reflecting the actual terms of the seller's transaction no later than the day of consummation. The settlement agent may comply with this requirement by providing the seller with a copy of the CD provided to the consumer if it also contains information relating to the seller's transaction. The settlement agent may also provide the seller with a separate disclosure, including only the information applicable to the seller's transaction from the CD. However, if the seller's disclosure is provided in a separate document, the settlement agent has to provide the creditor with a copy of the disclosure provided to the seller.

In rescindable transactions, the CD must be given separately to each consumer who has the right to rescind under TILA, although the disclosures required for adjustable rate mortgages need only be provided to the consumer who expresses an interest in a variable-rate loan program. In transactions that are not rescindable, the CD may be provided to any consumer with primary liability on the obligation.

POST CONSUMMATION CHANGES TO CD

Creditors must provide a corrected CD to the borrower(s) if an event in connection with the settlement occurs during the 30-calendar-day period after consummation that causes the CD to become inaccurate and results in a change to an amount paid by the consumer from what was previously disclosed. The creditor must deliver or place in the mail a corrected CD not later than 30 calendar days after receiving information sufficient to establish that such an event has occurred.

Settlement agents must provide a revised CD to the seller if an event related to the settlement occurs during the 30-day period after consummation that causes the CD to become inaccurate and results in a change to an amount actually paid by the seller from what was previously disclosed. The settlement agent must deliver or place in the mail a corrected CD to the seller not later than 30 calendar days after receiving information sufficient to establish that such an event has occurred.

Creditors also must provide a revised CD to correct non-numerical clerical errors and document refunds for tolerance violations no later than 60 calendar days after consummation. An error is clerical if it does not affect a numerical disclosure and does not affect the timing, delivery, or other requirements required by the rule.

Flagstar Bank Procedures – Table Funded Transactions

Flagstar will issue corrected CD(s) in the event of a post consummation change that requires a revised CD to be sent to the borrower(s).

Flagstar Bank Procedures – Correspondent Transactions

Correspondents are required to generate and deliver all CDs to the borrower(s) in accordance with the Rule. Flagstar will not require that the borrower sign any CD unless there is a signature line present on the form for them to do so.

RESTITUTION

If the amounts paid by the consumer at closing exceed the amounts disclosed on the LE beyond the applicable tolerance threshold, the creditor must refund the excess to the consumer no later than 60 calendar days after consummation.

- For charges subject to zero tolerance, any amount charged beyond the amount disclosed on the LE must be refunded to the consumer.
- For charges subject to a 10% cumulative tolerance, to the extent the total sum of the charges added together exceeds the sum of all such charges disclosed on the LE by more than 10%, the difference must be refunded to the consumer.

If the creditor cures a tolerance violation by providing a refund to the consumer, the creditor must deliver or place in the mail a corrected CD that reflects the refund no later than 60 calendar days after consummation.

Flagstar Bank Procedures – Table Funded Transactions

In the event that tolerance violations are identified, the *Compliance Testing Results* will contain the breakdown of specific fees that caused the tolerance cures that will be processed by Flagstar.

Flagstar Bank Procedures – Correspondent Transactions

In the event that a tolerance violation is identified, the *Compliance Testing Results* will contain the breakdown of specific fees that caused the tolerance violation. Correspondents will be required to process restitution to the borrower and provide Flagstar with a copy of the corrected CD.

RECORD RETENTION

The creditor must retain copies of the CD and all documents related to the CD for five years after consummation. For all other evidence of compliance with the Integrated Disclosure provisions of Regulation Z (including the LE) creditors must maintain records for three years after consummation of the transaction.

If the creditor sells, transfers, or otherwise disposes of its interest in a mortgage and does not service the mortgage, the creditor is required to provide a copy of the CD to the new owner or servicer as part of the transfer of the loan file. Both the creditor and owner or servicer shall retain the CD for the remainder of the five year period.

YOUR HOME LOAN TOOLKIT

A copy must be provided to consumers who apply for a consumer credit transaction secured by real property and must be delivered or placed in the mail no later than three business days after receiving

the consumer's loan application. If the consumer uses a mortgage broker, the mortgage broker must provide the toolkit.

Flagstar Bank Procedures – Table Funded and Correspondent Transactions

Flagstar will require originators to provide the [Your Home Loan Toolkit](#) to borrower(s) in accordance with the rule.

ELECTRONIC DELIVERY

Electronic delivery of the disclosures is Flagstar's preferred method of delivery as it may assist in reducing the number of days required for delivery under the mailbox rule described above. In order to take advantage of this, it is crucial that we obtain the borrower(s) consent early in the process. Once a borrower(s) email address is present in the Loan Application page or input in the *Disclosures* module, we will send an invitation email to the borrower(s) requesting their consent. Once they have successfully consented, we may send LE's, CD's and appraisals/valuations to them electronically.

ADDITIONAL RESOURCES

More information regarding the TILA-RESPA Integrated Disclosure rule can be found on the CFPB website by clicking [here](#).

RIGHT OF RESCISSION

Regulation Z mandates that for any mortgage loan transaction in which a security interest is or will be acquired in the borrower's principal dwelling (a refinance or equity loan), each individual who has an ownership interest in the financed property has a right to rescind the transaction, without penalty, until midnight of the third business day following consummation of the loan. For purposes of this rule, Saturday is a business day.

If a loan transaction is subject to the right of rescission, two copies of the Right to Cancel must be given to each individual who has the right to rescind. These copies must be provided at the closing.

HIGHER-PRICED MORTGAGE LOANS (HPML/SECTION 35)

Higher-Priced Mortgage Loans (HPML) are identified as closed-end loans secured by a consumer's principal dwelling where the APR (measured as of the date the interest rate for the transaction is set) exceeds the Average Prime Offer Rate (APOR) by:

- 1.50 percentage points or more for first-lien transactions (except jumbos);
- 2.50 percentage points or more for first-lien jumbo transactions;
- 3.50 percentage points or more for junior-lien transactions.

The APOR is published by the CFPB once per week. The APOR for the week the interest rate is set (i.e. locked) is the APOR that must be used for the comparison to determine whether the transaction is higher-priced.

Flagstar will not allow transactions that are considered HPML to be eligible for an escrow waiver.

Furthermore, *effective with applications taken on or after January 18, 2014* transactions that are HPML and do not meet the definition of a Qualified Mortgage will have the following appraisal requirements:

- Use a licensed or certified appraiser who certifies the appraisal complies with USPAP and FIRREA;

- Have the appraiser physically visit the property and view the interior when producing the appraisal;
- Obtain an additional appraisal if the property's seller acquired the dwelling within the past 180 days and is reselling it for a price that exceeds:
 - 10 percent price increase if the seller acquired in the past 90 days, or
 - 20 percent price increase if the seller acquired in the past 91 to 180 days;
- Provide a disclosure within three (3) business days of application explaining the consumer's rights with regard to appraisals; consumers may not waive the timing requirement to receive a copy of the appraisal; and
- Give consumers free copies of the appraisal reports performed in connection with the transaction at least three (3) days before consummation.
- Exemption exists for smaller loan amounts on special appraisal requirements effective January 1st of the current year instituted by the CFPB for Reg Z and threshold adjusted annually.

ABILITY-TO-REPAY (ATR) AND QUALIFIED MORTGAGE (QM)

Effective with applications taken on or after January 10, 2014, the Ability-to-Repay /Qualified Mortgage rule implements provisions of the Dodd-Frank Act which applies to closed-end consumer credit transactions that are secured by a dwelling.

ABILITY-TO-REPAY (ATR)

Lenders must make a reasonable, good-faith determination at or before consummation that the consumer will have a reasonable ability-to-repay the loan. Lenders must consider and verify using reasonably reliable third-party records, at least the following eight underwriting factors when determining the ability-to-repay:

- Current or reasonably expected income or assets that the consumer will rely on to repay the loan;
- Current employment status (if you rely on employment income when assessing the consumers ATR);
- Monthly mortgage payment for this loan;
- Monthly payment on any simultaneous loans secured by the same property that the creditor knows or has reason to know will be made;
- The monthly payment for mortgage-related obligations, such as monthly payments for property taxes and insurance that are required and other costs related to the property such as HOA fees or ground rent;
- Current debt, alimony and child-support obligations;
- Monthly debt-to-income (DTI) or residual income;
- Credit history

QUALIFIED MORTGAGE (QM)

The rules provide a presumption that covered loans have complied with ATR requirements if they satisfy QM criteria. QMs can receive two different levels of protection liability from having violated ATR requirements:

- Safe Harbor – QMs that are not higher-priced mortgage loans have a safe harbor, meaning that they are conclusively presumed to comply with the ATR requirements. For the purposes of the ATR/QM rule, higher-priced means loans with an APR which exceed the APOR by:

- 1.50% or more for all first-lien mortgage loans
 - 2.50% or more higher for jumbo loans
 - 3.50% or more higher on subordinate-lien mortgage loans
- Rebuttable Presumption – Consumers with higher-priced QMs can rebut that presumption that the loan complies with the ATR requirements. This would require the consumer to establish that, based on the information available to the creditor at the time the loan was consummated, the consumer did not have enough residual income or assets left to meet living expenses after paying their mortgage and other debts.

Flagstar will not purchase any Jumbo Fixed, Jumbo ARM or Freddie Mac Relief Refinance II loans not entitled to the Safe Harbor presumption. All other product types with a rebuttable presumption are eligible for purchase by Flagstar if adequate residual income or assets is demonstrated prior to or at consummation, at Flagstar's sole discretion.

There are multiple types of QMs: General, Revised General, Temporary and Other Agency Defined loans which can be originated by any creditor. Small Creditor and Balloon-Payment can only be originated by small creditors. Flagstar will not originate or purchase loans covered by Small Creditor and Balloon-Payment QMs.

Applicable Timelines by QM Type:

- General QM: Loans with application dates prior to October 1, 2022
- Revised General QM: Can apply to loans with application dates after March 1, 2021. However, Fannie Mae and Freddie Mac require the revised rule be implemented for loans with application dates on or after July 1, 2021
- Temporary QM: Fannie Mae and Freddie Mac loans with application dates prior to July 1, 2021 and delivered on or before August 31, 2021
- Other Agency Defined QM Rules: FHA, VA, and USDA loans without regard to application date

All QMs have the following common requirements:

- No negative amortization, interest-only or balloon product features;
- No loan term exceeding 30 years;
- Points and Fees not to exceed the Regulation Z threshold amounts (caps), instituted by the CFPB and as adjusted annually
 - *Note: The "total loan amount" equals the amount financed minus any points and fees that are rolled into the loan amount;
 - Points and Fees that cannot exceed the cap include amounts that are known at or before consummation, even if paid after consummation by rolling them into the loan amount. A comprehensive list of Points and Fees considered by Flagstar can be found in our Sellers Guide. Loans which exceed Points and Fees caps cannot be cured after consummation via restitution.

In addition to the requirements above, QMs must meet other specific criteria:

- General QM
 - Underwrite based on a fully-amortizing schedule using the maximum rate permitted during the first five years after the date of the first periodic payment;

- Consider and verify the consumer's income or assets, current debt obligations, alimony and child-support obligations;
 - Monthly debt-to-income (DTI) ratio not to exceed 43 percent.
- Revised General QM
 - Requires establishing policies and procedures to make a reasonable and good faith determination, that prior to consummation, borrowers have the ability to repay. Ability to repay must be documented in each loan file and detail creditor's analysis, consideration and verification of borrowers' current or reasonably expected income, debt obligations, and assets (other than the value of the subject property) and must support calculations of monthly debt-to-income ratios or residual income.
 - QM Rate Threshold test for which the APR cannot exceed the APOR by specified amounts. Thresholds depend on lien position, loan amount, and whether property is a manufactured home.

APR for ARM loans with introductory period of five years must be calculated based on the maximum rate that may apply during the first five years after the date on which the first regular payment will be due.
- Temporary QM
 - Loans Eligible for purchase or guarantee by Fannie Mae or Freddie Mac for applications taken prior to July 1, 2021
- QM-Other Agencies
 - Eligible for FHA insurance;
 - Eligible for VA guarantee;
 - Eligible for USDA guarantee;
 - Eligible for Rural House Service insurance.
 - To meet the QM definition, loans must be underwritten using guidelines of the entities above, including any relevant DTI guidelines, which may exceed the 43 percent DTI threshold for General QM loans. Additionally, the creditor does not have to satisfy agency standards which are wholly unrelated to the underwriting of the loan or any standards which apply after consummation to receive Temporary QM status.

Flagstar will not fund non-QM loans, with the exception of the 5427 Advantage product.

LOAN ORIGINATOR COMPENSATION

The Consumer Financial Protection Bureau (CFPB) published final rules amending Regulation Z which implements provisions of the Dodd-Frank Act and updates requirements with regard to loan originator compensation and anti-steering. The following requirements must be met by each Seller:

With respect to rules governing loan originator compensation and anti-steering, Flagstar considers a *loan originator* to be any person who, for compensation or other monetary gain, or in expectation of compensation or other monetary gain, arranges, negotiates, or otherwise obtains an extension of consumer credit for another person. For these purposes, a *loan originator* includes Sellers that originate as a broker (including table funding), as well as loan officers employed by a Seller acting as either a broker or correspondent.

- Compensation paid to a loan originator based on a loan's term of a transaction, or a proxy for a term of a transaction, is prohibited. However compensation can be based on a percentage of the loan amount, with a fixed minimum or maximum dollar amount

- If the loan originator receives compensation directly from the borrower, they are prohibited from also receiving compensation from any other person on that transaction. Compensation paid from loan proceeds or seller concessions are considered to be payment from the borrower.
 - Borrower-Paid transactions are those in which all loan originator compensation is being received directly from the borrower. See *Borrower-Paid Compensation Guidelines* below for details on acceptable usage.
 - Flagstar-Paid transactions are those in which all loan originator compensation is being received from Flagstar, not directly from the borrower. This compensation is calculated according to the *Loan Originator Compensation Schedule* input by the loan originator under the Seller ID and in effect at the time of the lock date.
- Seller must establish compensation agreements with each of its loan officers in accordance with the compensation rules.
- Steering borrowers to accept a loan based on the fact the loan originator will receive greater compensation for such a loan is prohibited, unless the transaction is in the borrower's interest.
- An anti-steering "safe harbor" as to the "borrower's interest" exists if the loan originator presents the following options for each type of loan in which the borrower expresses an interest:
 - a. the lowest interest rate
 - b. the lowest interest rate without any risky features, and
 - c. the lowest total dollar amount for discount points and origination fees. The options must be obtained from a significant number of lenders with whom the loan originator regularly does business.
- NMLS ID's for the Loan Originator Organization and the Loan Originator are required on the following documents:
 - 1003 (Initial and Final)
 - Note
 - Security Instrument
 - Loan Estimate (Applicable for applications on or after October 3, 2015)
 - Closing Disclosure (Applicable for applications on or after October 3, 2015)
- If there is more than one loan originator for a transaction, you must include the name and the NMLS ID of the individual loan originator with primary responsibility for the transaction at the time the loan document is issued.
- Seller must retain records evidencing compliance with these loan originator compensation and anti-steering rules, including but not limited to: loan officer compensation agreements, payroll and commission records, lender compensation plans, rate sheets and anti-steering disclosure options. Records must be retained for three years after each receipt or payment, even if multiple compensation payment relate to a single transaction.

BORROWER-PAID COMPENSATION GUIDELINES

- Borrower-Paid compensation amount can either be disclosed as a flat dollar amount or calculated based on a percentage of the loan amount, however it must always be less than the amount that would be paid under the customer's existing Flagstar-Paid compensation plan.
- Borrower-Paid compensation will be disclosed as an Origination Fee in Section A of the Loan Estimate.

- The compensation source can be changed between Flagstar-Paid and Borrower-Paid while a loan is floating but cannot be changed once loan has been locked, including once a lock has expired.
- If the Borrower-Paid compensation is input as a percentage of the loan amount, the compensation amount will automatically update if the loan amount changes. This is an allowable Change of Circumstance regardless of lock status and will be redisclosed to the borrower. Example: Origination Fee initially entered as 2% with a loan amount of \$200,000. Compensation amount = \$4,000. Loan amount changes to \$230,000, compensation amount is now \$4,600.
- After the initial Loan Estimate is issued, requests to increase the Borrower-Paid compensation amount are not permitted (decreases are allowed if loan is still floating).
- After the loan is locked, requests to increase or decrease the Borrower-Paid compensation amount are not permitted.
- Any premium pricing on Borrower-Paid loans must be applied as lender credits towards third-party fees and cannot be used towards the Origination Fee or any fee paid to the originator.
- Customers must identify the reason that Borrower-Compensation is being used from the following options:
 - Competitive price match, which requires supporting documentation to be uploaded prior to closing. A prior to closing condition will be added on all loans without acceptable documentation, which must be cleared before being eligible to request an initial Closing Disclosure. Acceptable documentation is at the sole discretion of Flagstar and may include: a competitor LE provided to borrower, a competitor rate offer provided to borrower, broker rate sheet or PPE (product pricing engine) screenshot, or email or signed letter from borrower indicating the rate and compensation they are willing to pay to receive a lower interest rate.
 - Compliance failure, which requires the Flagstar compliance test results show a “fail” for QM Points & Fees, HPML, HOEPA, TILA APR or state predatory as Lender-Paid. Loans should be floating when testing is run (since compensation cannot be changed once locked), so users will need to manually run the compliance testing including entering an estimated Fee for Rate Selected (discount points).

HOME OWNERSHIP AND EQUITY PROTECTION ACT (HOEPA/SECTION 32)

HOEPA identifies “high-cost” loans through the use of rate and fee triggers and provides consumers entering into these transactions with special protections.

Effective with applications taken on or after January 10, 2014, consumer credit transactions that are secured by a consumer’s principal dwelling are subject to HOEPA coverage (except for construction loans that finance the initial construction of a new dwelling). There are three separate HOEPA coverage tests to determine if the transaction is a high-cost mortgage.

- Annual Percentage Rate (APR) – A transaction is a high-cost mortgage if its APR (measured as of the date the interest rate for the transaction is set) exceeds the Average Prime Offer Rate (APOR) for a comparable transaction on that date by more than:
 - 6.50% for first-lien transactions (generally);
 - 8.50% for first-lien transactions that are for less than \$50,000 and secured by personal property (e.g. manufactured homes); or
 - 8.50% for junior-lien transactions.
- Points and Fees – A transaction is a high-cost mortgage if its points and fees exceed:

- 5.00% of the total loan amount for a loan amount greater than or equal to the total loan amount threshold; or
- The lesser of the adjusted points and fees dollar trigger for high cost mortgages or 8.00% of the total loan amount for a loan amount less than total loan amount threshold
 - The HOEPA points and fees trigger and total loan amount threshold are instituted by the CFPB and adjust annually on January 1.
- The calculation of Points and Fees as defined by Flagstar can be found in our Sellers Guide.
- Prepayment Penalty – A transaction is a high-cost mortgage if you charge a prepayment penalty that is:
 - More than 36 months after consummation or account opening; or
 - In an amount more than 2.00% of the amount prepaid.

Flagstar will not fund or purchase loans which are determined to be high-cost mortgages.

STATE AND LOCAL PREDATORY LENDING

Because predatory lending practices were on the rise, some states and local governments have enacted legislation to protect consumers from those lenders that were engaging in those practices that were considered predatory. Most of these statutes are HOEPA-based, and some contain more restrictive definitions of “high cost” loans. In addition, many “predatory” practices prohibited by state and local statutes include:

- Equity Lending - Making unaffordable loans based solely on the borrower’s equity and not on the borrower’s ability to repay the loan.
- Loan Flipping - Providing inducements for a borrower to refinance a loan repeatedly, even though the refinancing may not be in the borrower’s best interest, and charging points and fees for each refinance, also known as “equity stripping.”
- Loan Packing - Including unnecessary insurance in the loan obligation and fraudulently concealing the insurance from the borrower.

Flagstar will not fund or purchase loans which are determined to be state or local “high cost” or “predatory” loans.

FAIR LENDING: EQUAL CREDIT OPPORTUNITY ACT (ECOA)/REGULATION B, FAIR HOUSING ACT, AND STATE FAIR LENDING LAWS

The Fair Housing Act (“FHA”), which was passed in 1968, and is implemented by regulations issued by the U.S. Department of Housing and Urban Affairs prohibits discrimination on a prohibited basis in all aspects of residential real estate-related transactions, including the sale, rental, advertising, and financing of housing. The Equal Credit Opportunity Act (ECOA) was passed in 1975 and was implemented by Regulation B, prohibits creditors from discriminating against applicants or borrowers on a prohibited basis during any aspect of a credit transaction and prohibits lenders from making any oral or written statement (in advertising or otherwise) to consumers that would discourage a reasonable person from making or pursuing an application. Certain states have also enacted laws or regulations which prohibit discrimination by additional prohibited bases.

The combined list of prohibited bases is:

- Race
- Color

- National Origin
- Religion
- Sex (including sexual orientation and gender identity)
- Marital Status (including same-sex marriage)
- Familial status (defined as children under the age of 18 living with a parent or legal custodian, pregnant women, and people securing custody of children under 18)
- Age (provided that the consumer has the capacity to enter into a binding contract)
- Handicap
- The consumer's receipt of income derived from any public assistance program
- The consumer's exercise, in good faith, of any right under the Consumer Credit Protection Act
- **Citizenship and immigration status (in the states of New York, California and Washington)**

Above its anti-discrimination provisions, ECOA also mandates that lenders notify applicants of action taken on their applications; report credit history in the names of both spouses on an account; retain records of credit applications; collect information about the applicants' race and other personal characteristics in applications for certain dwelling-related loans; and provide applicants with copies of appraisal reports used in connection with credit transactions.

Limited English Proficiency

Consumers who express a preference for communications in a particular non-English language shall not be discriminated against on the basis of their language preference, and should have access to the same products and services—and a comparable level of service—as consumers who prefer to communicate in English.

NOTIFICATIONS

Within 30 days of receiving an application, a lender is required to notify the applicant of the action taken, including the ECOA notice and statement of specific reasons. This notice indicates the lender's approval, counteroffer or denial. If the action taken by the lender is a denial, the specific reasons for the denial are required to be listed in the notice. ECOA also mandates that model disclosure language informing the applicant that the lender may not discriminate be included in the notice.

PROVIDING VALUATIONS

Effective with applications taken on or after January 18, 2014 on first-lien transactions, the originator shall disclose to applicants within three (3) business days of receiving the application their right to receive copies of appraisals and other written valuations developed in connection with the application. The disclosure should use the same model language as shown in *Notice of Right to Receive a Copy of Appraisals*, [Doc #3248](#). The *Notice of Right to Receive a Copy of Appraisals* disclosure requirement is integrated in the Loan Estimate disclosure provided under the TILA-RESPA Integrated Disclosure rule for applications on or after October 3, 2015 and will not need to be provided separately. If the applicant chooses to waive the waiting period, *Notice of Right to Receive a Copy of Appraisals – Waiver*, [Doc. #3246](#), or similar will be required to be completed by the primary borrower.

Furthermore, the creditor must provide free copies of appraisals and other written valuations promptly upon completion, or three (3) business days before consummation, whichever is earlier. If the appraisals and other written valuations are provided in any method other than in person, they are considered provided 3 business days after they were sent (for a total of 6 business days prior to consummation) unless there is documentation evidencing the applicant's receipt of the appraisals and

written valuations. Copies must be provided regardless of whether credit is extended, denied, incomplete or withdrawn. For transactions that are considered Safe Harbor QM or Rebuttable Presumption, the applicant can waive the right to receive copies in advance in which case the creditor must provide copies no later than at consummation.

For broker transactions (including all FHA sponsored-originator loans), Flagstar will deliver copies to the applicant. For correspondent transactions (not including FHA sponsored-originator loans), the correspondent will be responsible for delivering copies to the applicant under the rule. On correspondent loans underwritten by Flagstar, the appraisals and other written valuations used to underwrite the loan will be identified and made available so the correspondent delivers the appropriate copies.

For transactions with more than one applicant, the disclosure and copies are only required to be provided to one of the applicants, preferably the primary applicant.

APPRAISAL DELIVERY REQUIREMENTS

- Borrow must receive appraisal / valuation documents at least 3 business days prior to consummation. NOTE: If borrower does not have eConsent, mailbox rule applies.
- Below grid shows Appraisal Delivery Requirements under ECOA

Appraisal Delivery Requirements under ECOA			
Appraisal Type	Is the report used to establish Value?	Required to send?	ECOA timing requirements apply
1004 - Full SFR property appraisal for	Yes	Yes	Yes
1073 - Full condominium appraisal	Yes	Yes	Yes
1004C - Full manufactured home appraisal	Yes	Yes	Yes
1004D Update	No	No	N/A
1004D Reinspection	Yes IF (1) Any deficiencies noted on 1004D are considered to be health or safety items OR (2) Any deficiencies noted on 1004D would have a material adverse impact on the valuation of the property Otherwise No.	Yes	Timing requirements apply to scenarios (1) and (2) listed in Column C under "Yes" Otherwise, 1004D should be sent as a trailing document, exempt from timing.
1004D Disaster Inspection or DAIR Disaster Area Inspection Report	No	No	N/A
1025 Full appraisal for 2-4 unit properties	Yes	Yes	Yes
2055 - SFR Exterior only appraisal	Yes	Yes	Yes
1075 - Condominium Exterior only appraisal report	Yes	Yes	Yes
2000 One-unit Field Review (SFR/Condo/PUD)	Yes - if prior to consummation	Yes - if prior to consummation	Yes - does not apply to post consummation reports
2000A 2-4 Unit Field Review	Yes - if prior to consummation	Yes - if prior to consummation	Yes - does not apply to post consummation reports
2006 Desk Review - Residential Appraisal Review Short Form	Yes - if prior to consummation	Yes - if prior to consummation	Yes - does not apply to post consummation reports
1007 Rent Survey	If attached as part of the appraisal - send. Otherwise does not need to be sent	No. However, should be sent with appraisal when attached to it.	No
216 Operating Income Statement - used for 1-4 famil investment properties and 4-family owner occupied	If attached as part of the appraisal - send. Otherwise does not need to be sent	No. However, should be sent with appraisal when attached to it.	No
CDA Clear Capital Desk Review	Yes	Yes	Yes
BPO	Yes	Yes	Yes
3 Point Value Reconciliation	Yes	Yes	Yes
CCA Consolidated Analytics Desk Review	Yes	Yes	Yes
EValuation First Close/Xome	Yes	Yes	Yes
1004P bifurcated residential form	Yes	Yes	Yes
Appraisal Reviews completed by Appraisal Management	No	No	N/A

FAIR CREDIT REPORTING ACT (FCRA)

The Fair Credit Reporting Act (FCRA) was passed into law as part of the Consumer Protection Act in 1968. The FCRA is designed to assure that consumer-reporting agencies exercise fairness, confidentiality and accuracy in preparing and disclosing credit information. It limits the furnishing of credit reports to those authorized to receive them and it places disclosure obligations on the users of consumer credit reports. The FCRA also permits consumers to obtain credit information about themselves from Credit Bureaus and to dispute inaccurate or incomplete information found in the credit report.

All mortgage companies use credit reports in evaluating a consumer's application. They are subject to some of the requirements of the FCRA. The FCRA specifically defines the permissible purposes for access to a consumer's credit file as follows:

- In connection with a credit transaction involving the consumer;
- Prior to deposit account opening;
- For employment purposes (with the appropriate separate consent);
- When the Bank otherwise has a legitimate business need for the report in connection with a business transaction initiated by the consumer;
- When the Bank has a legitimate business need for the report with respect to an initial or periodic due diligence review of the Bank's third-party vendors;
- In order to review a credit account to determine whether the consumer continues to meet the terms of the account; or
- For use by a potential investor or servicer, in connection with a valuation of, or assessment of the credit or prepayment risks associated with, an existing credit obligation.

DISCLOSURES

Whenever information in a consumer credit report causes the lender to decline or adversely affect the credit request, the FCRA mandates that the lender provide certain information to the consumer. If there is either a denial of credit or an increase in the cost of credit based on information obtained in the credit file, the lender must tell the consumer which credit reporting agency it relied upon in making its credit decision. The lender must keep copies of the disclosure statement for two (2) years.

ESTABLISHMENT OF TIME LIMITS ON OBSOLETE INFORMATION

The FCRA requires that certain adverse information must be deleted from the credit report files after seven (7) years. Bankruptcy filings may remain for up to ten (10) years.

ENFORCEMENT

Primarily the Federal Trade Commission (FTC) enforces the FCRA. The FCRA provides criminal penalties for users if information is obtained from a credit report under false pretenses, and also for Credit Bureaus if credit information is provided to anyone unauthorized to receive it.

Identity Theft Prevention

The Identity Theft Red Flags and Address Discrepancies under the Fair and Accurate Credit Transactions Act of 2003 requires lenders such as banks, finance companies, automobile dealers, mortgage brokers, utility companies, and telecommunication companies to establish an Identity Theft Protection Program to detect, prevent and mitigate identity theft.

Duties of Users of Consumer Reports Regarding Address Discrepancies

The FCRA requires consumer reporting agencies to notify the person requesting a credit report whenever the address of the consumer in the request substantially differs from the address the consumer reporting agency has in its files. If such a notice is received, steps must be taken to form a reasonable belief that the user knows the true identity of the person to whom the consumer report pertains such as:

- Verify the information on the consumer report with the consumer
- Compare the information in the consumer report with consumer information obtained and used to verify the consumer's identity
- Compare to information obtained from third parties

DODD-FRANK WALL STREET REFORM AND CONSUMER PROTECTION ACT (DODD-FRANK ACT) – ADVERSE ACTION LETTERS

The Federal Reserve Board and the Federal Trade Commission issued a final rule implementing the credit score disclosure requirements of Section 1100F of the Dodd-Frank Wall Street Reform and Consumer Protection Act (Dodd-Frank Act) effective July 21, 2011. Section 1100F of the Dodd-Frank Act requires creditors to disclose credit scores and related information if a credit score is used in taking adverse action. The adverse action notice must include the following:

1. A numerical credit score used in making the credit decision
2. The range of possible scores under the model used
3. Up to four key factors that adversely affected the consumer's credit score (or up to five factors if the number of inquiries made with respect to that consumer report is a key factor)
4. The date on which the credit score was created
5. The name of the person or entity that provided the credit score

A creditor that obtains a credit score and takes adverse action is required to disclose that score, unless the credit score played no role in the adverse action determination.

TABLE FUNDED LOANS

Flagstar Bank will mail adverse action letters to the applicant(s) mailing address listed on the 1003 and will include the additional information as required. Adverse action letters are sent to applicant(s) 14 days from the date the loan is placed into a denied status, unless the loan is issued a final approval clear to close within those 14 days.

CORRESPONDENT LOANS

Flagstar Bank will not mail adverse action letters to applicants on any correspondent loan. Correspondents are required to issue adverse action letters to the applicant(s) for any denied loans.

FLOOD DISASTER PROTECTION ACT (FDPA)

The Flood Disaster Protection Act (FDPA) was passed by Congress in 1973 to expand the National Flood Insurance Program, which was initially established by the National Flood Insurance Act of 1968. The purpose of the FDPA is to mandate participation in the National Flood Insurance Program as a condition for receiving federal aid in financing the construction, purchase, repair or improvement of a building or mobile home located in a special flood hazard area (SFHA). The FDPA was amended in 1974 to require all federally regulated or insured lenders to notify prospective borrowers before closing a loan if the property that is securing their loan is located in a SFHA and, again, in 1994 to broaden the mandatory flood

insurance requirements of the National Flood Insurance Program. For more information, please refer to *Flood Insurance*, [Doc. #4603](#).

REQUIREMENTS

Pursuant to the FDPA, and its amendments, flood insurance is required on loans made by federally regulated lending institutions if the following criteria exist:

- The community, in which the property securing the loan is located, is participating in the National Flood Insurance Program and
- Any portion of the structure or structures, which are located on the property that secures the loan, is located in a SFHA.

LENDER RESPONSIBILITIES

According to the FDPA, it is the lender's responsibility to:

- Determine whether the structure located on the property securing the loan is located in a SFHA,
- Document this determination of flood hazard status and
- Require that, if applicable, flood insurance in the appropriate coverage amount be obtained.

NOTICE TO APPLICANT

If it is determined that the property securing the loan is located in a SFHA, the lender is required to notify the applicants prior to the loan closing:

- That the property is located in a SFHA,
- That flood insurance is required in order for the lender to make the loan and must be obtained for either the principal amount of the loan or the maximum amount available under the National Flood Insurance Program,
- Whether or not federal disaster relief will be available in the event that the property is damaged from a flood,
- The lender must be named as the mortgagee on the insurance policy,
- The policy must be in effect at the time the loan closes and must be maintained for the term of the loan and
- If, at any time during the term of the loan, the lender determines that the flood insurance has lapsed and the borrowers fail or refuse to reinstate the policy, the lender must force place flood insurance on the loan.

If it is determined during the term of the loan that flood insurance is required, or if the amount of coverage is inadequate, the lender is required to see that flood insurance is either obtained or that the limits are increased.

ADMINISTRATION

The National Flood Insurance Act is administered by the Federal Insurance Agency (FIA), working with the Federal Emergency Management Agency (FEMA). For more information, please refer to *Flood Insurance*, [Doc. #4603](#).

HOME MORTGAGE DISCLOSURE ACT (HMDA) - REGULATION C

The Home Mortgage Disclosure Act and its implementing regulation, Regulation C, were enacted in 1975 to achieve the following goals:

- To provide the public with loan data that can be used to help determine whether financial institutions are servicing the housing needs of their communities;
- To provide the public with loan data than can be used to assist in identifying possible discriminatory lending patterns and enforcing antidiscrimination statutes; and
- To assist public officials in distributing public-sector investment so as to attract private investment to areas where it is needed.

DISCLOSURE REQUIREMENTS

Under HMDA, financial institutions, including commercial banks, savings banks, credit unions and mortgage lending institutions, are required to report the following information on each applicant and/or borrower:

- Ethnicity
- Race and/or national origin;
- Sex; and
- Income
- Age

Financial institutions must also report certain information about each application and/or loan, including the type of loan, the amount involved, and the location of the property to which the loan or application relates. Borrowers who self-identify their ethnicity and race will have a choice of additional options to select. These options are known as disaggregated ethnic and racial subcategories. Flagstar Bank reports HMDA data on all wholesale and correspondent loans both underwritten and purchased. If the loan is submitted to Flagstar for underwriting, Flagstar will report the final disposition of that record (withdrawn, incomplete, approved but not accepted, declined or originated if the loan closes). If the loan is sent to Flagstar for purchase (already underwritten and closed), Flagstar will report that loan as a purchase for HMDA purposes upon loan funding, however it is the correspondent's responsibility to also report HMDA on loans in which the correspondent makes the credit decision (delegated underwritten) in addition to Flagstar reporting after funding.

Financial institutions must collect, report and publicly disclose this data by March 1 of the year following the year for which the information was collected.

HOMEOWNERS PROTECTION ACT OF 1998 (HPA)

The Homeowners Protection Act of 1998 (HPA) was signed into law on July 29, 1998. The main purpose of the HPA is to require that lenders and servicers terminate private mortgage insurance coverage (and by extension, private mortgage insurance premiums) associated with residential mortgages and residential mortgage transactions when loan balances fall below specified loan-to-value ratios. To accomplish this goal, the HPA requires lenders and servicers to monitor loan portfolios and to provide certain disclosures and notices.

For purposes of the Act, the lending transactions covered, are mortgage loans evidenced by a security interest in a single-family dwelling that is the primary residence of the mortgagor.

DISCLOSURE REQUIREMENTS

An initial disclosure is required to be provided to the borrower to describe the borrower's right regarding the cancellation and termination of private mortgage insurance.

When private mortgage insurance is required for a covered fixed rate mortgage loan, the lender must provide to the borrower at the time of settlement an initial amortization schedule along with a notice that discloses:

- The borrower's right to request cancellation of mortgage insurance, and, based on the initial amortization schedule, the date the loan balance is scheduled to reach 80 percent of the original value of the property;
- The borrower's right to request cancellation on an earlier date, if actual payments bring the loan balance to 80 percent of the original value of the property sooner than the date based on the initial amortization schedule;
- That mortgage insurance will automatically terminate when the LTV ratio reaches 78 percent of the original value of the property and the specific date that is projected to occur based on the initial amortization schedule; and
- The HPA provides for exemptions to the cancellation and automatic termination provisions for high-risk mortgages and if these exemptions apply to the borrower's loan.

When private mortgage insurance is required for a covered adjustable rate mortgage loan, the lender must provide to the borrower at the time of settlement a notice that discloses:

- The borrower's right to request cancellation of mortgage insurance on (i) the date the loan balance is first scheduled to reach 80 percent of the original value of the property based on the amortization schedule then in effect or (ii) the date the balance actually reaches 80 percent of the original value of the property based on actual payments. The notice must also state that the servicer will notify the borrower when either (i) or (ii) occurs;
- That mortgage insurance will automatically terminate when the loan balance is first scheduled to reach 78 percent of the original value of the property based on the amortization schedule then in effect. The notice must also state that the borrower will be notified when mortgage insurance is terminated (or that termination will occur when the borrower becomes current on payments); and
- That there are exemptions to the cancellation and automatic termination provisions for high risk mortgages and if such exemptions apply to the borrower's loan.

When private mortgage insurance is required for a covered high risk mortgage loan, the lender must provide to the borrower a written notice at the time of settlement stating that mortgage insurance will not be required beyond the date that is the midpoint of the loan's amortization period if, on that date, the borrower is current on the payments as required by the terms of the loan.

In the case of Lender Paid Mortgage Insurance required for a covered loan, the HPA requires that the lender provide a notice to the borrower no later than the date on which a loan commitment is made. The notice must advise the borrower of the differences between Lender Paid Mortgage Insurance and Borrower Paid Mortgage Insurance. The notice must indicate to the borrower that Lender Paid Mortgage Insurance:

- Differs from Borrower Paid Mortgage Insurance because it cannot be cancelled by the borrower or automatically terminated as provided under the HPA;
- Usually results in a mortgage loan having a higher interest rate than it would in the case of Borrower Paid Mortgage Insurance;
- Terminates only when the mortgage is refinanced, paid off, or otherwise terminated;

- Has both benefits and disadvantages and that Borrower Paid Mortgage Insurance has both benefits and disadvantages, as well; and
- May be tax-deductible for federal income taxes, if the borrower itemizes expenses for that purpose.

The notice must also include a generic analysis of the costs and benefits of a mortgage in the case of Lender Paid Mortgage Insurance versus Borrower Paid Mortgage Insurance over a ten-year period, assuming prevailing interest and property appreciation rates.

PRIVACY - REGULATION P & CALIFORNIA CONSUMER PRIVACY ACT

In November 1999, the Privacy of Consumer Financial Information Act, also known as the Gramm-Leach-Bliley Act (GLBA) or Regulation P, was signed into law. The Act prohibits financial institutions from sharing the non-public personal information of consumers with non-affiliated third parties except in certain circumstances. In addition to complying with Regulation P, it is the policy of Flagstar to comply with the requirements for the California Consumer Privacy Act (CCPA). The CCPA only applies to "Personal Information" pertaining to natural persons residing in California that is not subject to the GLBA to the extent the Bank collects and processes Personal Information of consumers located in California.

For purposes of the Act "financial institution" is defined to include mortgage brokers, mortgage lenders, check cashiers, credit counseling services, financial or investment advisory services, retailers that issue credit cards, automobile and other vehicle dealers that provide leasing or financing, collection agencies, and governmental entities that provide financial products such as student loans or mortgages.

FINANCIAL INSTITUTION RESPONSIBILITIES

Under the provisions of the Act financial institutions are required to do the following:

- Provide an initial privacy notice to the consumer at the time that the customer relationship is established;
- Provide an opt-out notice prior to sharing non-public personal information with non-affiliated third parties (Flagstar does not currently share non-public personal information with non-affiliated third parties; therefore, it is not required to and does not provide an opt-out notice);
- Provide customers with a "reasonable opportunity" to opt out before disclosing non-public personal information about them to non-affiliated third parties;
- Honor a consumer's opt-out direction as soon as reasonable practicable after the opt-out election request is received from a customer; and
- Provide a new privacy notice and new opt-out notices, if its privacy practices are changed such that the notice most recently provided to the customer is no longer accurate.

FLAGSTAR BANK'S POLICY

- Table-Funded Transactions – Customers may utilize their own privacy policy for initial disclosures; however, Flagstar Bank's *Privacy Policy*, [Doc. #3250](#) must be disclosed to the borrower(s) at closing and must be uploaded into Documents. No signatures are required with this new version. The *Privacy Policy*, [Doc. #3250](#) is available within Flagstar's closing documents on all table-funded transactions.
- Correspondent Transactions – Correspondent customers may disclose their own privacy policy disclosure to the borrower(s) and are required to upload the disclosure into Documents.

DEFINITIONS

For purposes of the Act, non-public personal information is defined as personally identifiable financial information and any list, description, or other grouping of consumers (and publicly available information pertaining to them) that is derived using any personally identifiable financial information that is not publicly available.

Personally identifiable financial information is very broadly defined to include almost all of the information that we receive from a consumer during the loan application and approval process. Specifically, it includes:

- Information provided to us on an application to obtain a loan, credit card, or other financial product;
- Account balance information, payment history, overdraft history, and credit or debit card purchase information;
- The mere fact that an individual is a Flagstar customer;
- Any information about one of our consumers if it is disclosed in a manner that indicates that the individual is or has been a Flagstar customer;
- Any information that a consumer provides to us or that we or our agent otherwise obtained in connection with collection on or servicing a loan; and
- Information from a consumer report.

CALIFORNIA CONSUMER PRIVACY

The CCPA provides consumers (California residents) with specific rights regarding their personal information. California consumers have the right to request that we disclose certain information to them about our collection, use, and disclosure of their personal information over the past 12 months. In addition, California consumers have the right to request that we delete any personal information that we have collected and retained, subject to certain exceptions. Once we receive and confirm a verifiable consumer request, we will delete (and direct our service providers to delete) personal information from our records, unless an exception applies.

Flagstar Bank will allow CCPA requests to be submitted via a web-based form or a toll-free telephone number. Anyone receiving a CCPA "Request to Know or Delete" should direct consumer to the Customer Engagement Center at 888-395-7106. An online request form can also be found on flagstar.com by entering CCPA in the website search function.

USA PATRIOT ACT

The USA Patriot Act (the "Act") of 2001, Section 326, requires that financial institutions implement procedures to obtain, verify and record information that identifies each customer that opens an account. These procedures are referred to as the Customer Identification Program (CIP). The CIP regulation, 31 CFR 103.21, applies to federally regulated banks and savings associations, including branches and agencies of foreign banks in the United States, credit unions, and non-federally regulated private banks, trust companies and credit unions. To ensure that Flagstar Bank's brokers and correspondents comply with the law, the following procedures must be followed.

APPLICATIONS

Flagstar Bank will not establish a new account relationship without obtaining the following information from each potential customer:

- Name
- Date of birth, for individuals
- Address- for an individual- a residential address and, if different, a mailing address; if the individual does not have such an address, an Army Post Office (APO) or Fleet Post Office (FPO) box number, the residential or business street address of next of kin or of another contact individual.
- Identification number- for a U.S. citizen or entity- a taxpayer identification number (i.e. social security number or employer identification number), or evidence of a filed application for a taxpayer identification number. - for a non-U.S. citizen or entity- one or more of the following:
 - A U.S. taxpayer identification number
 - A passport number, including country of issuance
 - An alien identification card number
 - The number and country of issuance of any other government issued document, evidencing nationality or residence, and bearing a photograph or similar safeguard

VERIFICATION OF CUSTOMER IDENTIFICATION

Once identification information has been obtained from a prospective customer, the following risk-based procedures will be relied upon to verify the identity of the customer.

Flagstar Bank uses a combination of DOCUMENTARY and NONDOCUMENTARY methods to verify the identity of a new customer at account opening.

A. The following DOCUMENTARY methods will be used to verify customer identification information obtained by Flagstar Bank:

1. For individual customers that are **U.S citizens**- Flagstar Bank requires the use of -1 piece of primary identification or 2 pieces of secondary identification from the following lists:

a. ACCEPTABLE PRIMARY IDENTIFICATION

- An UNEXPIRED government issued identification card with a photograph-
- Valid Permanent Driver's License
- Valid U.S. Passport -Valid Matricula Consular Card
- Valid U.S. Military Identification Card
- Valid State Identification Card
- For customers that are minors and are not licensed drivers, a Student Identification Card with a photograph or a birth certificate

b. ACCEPTABLE SECONDARY IDENTIFICATION

- Birth certificate
- Current car registration
- Current pay stub (issued within the prior 30 days)
- Current utility bill with the name and address that matches the secondary form of identification
- Current employer identification from a known local company with a photograph
- Valid insurance card
- Current voter registration card

2. For individual customers that are **non-U.S. citizens**- Flagstar Bank requires the use of – 1 piece of primary identification and 1 piece of secondary identification, or 2 pieces of primary identification from the following lists:
 - a. ACCEPTABLE PRIMARY IDENTIFICATION
 - Valid permanent resident card
 - Valid permanent resident alien card
 - Valid U.S. citizen identification card
 - Valid employment authorization card
 - Valid temporary resident alien card
 - Valid non-U.S. passport
 - Valid non-immigrant visa and border crossing card
 - Valid nonresident alien border crossing card
 - b. ACCEPTABLE SECONDARY IDENTIFICATION
 - Current car registration
 - Current pay stub (issued within the prior 30 days)
 - Current utility bill with name and address that matches the secondary form of identification
 - Current employer identification from a known local company with a photograph
 - Current insurance card
 - Student enrollment verification from the Registrar's office of a local college or university
- B. The following NONDOCUMENTARY methods will be used to verify customer identification information obtained by Flagstar Bank:
 - **Individual customers** will be screened through a third party processor such as TransUnion, ChexSystems, Dunn & Bradstreet or a similar vendor.
- C. Lack of Verification- Circumstances that may result in Flagstar Bank's denial of the application include:
 - Inability to obtain un-expired government issued identification that bears a photograph or similar safeguard
 - Lack of familiarity with the documents presented
 - Evidence of fraud

RETENTION REQUIREMENTS

The identifying information, along with a record of the Identification documentation and, if applicable, evidence of any resolution of discrepancies, must be retained for five years after the account is sold to another lender or paid-off.

Credit denials or withdrawn applications are not considered accounts since no formal relationship is established with the applicant.

Delegated Correspondents must retain supporting Patriot Act documentation as Flagstar Bank may request evidence of these documents. As verification, Flagstar bank requires the *Patriot Act Information Disclosure*, [Doc. #3243](#) or similar form for every borrower.

ADEQUATE CUSTOMER NOTICE

The following language must be made available to each applicant, either verbally, in writing that the applicant may keep or by being placed in the branch or lending area in a location that the applicant will be able to view during the application process.

“To help the government fight the funding of terrorism and money laundering activities, federal law requires all financial institutions to obtain, verify and record information that identifies each person who opens an account.

What this means for you: When you open an account, we will ask for your name, address, date of birth, and other information that will allow us to identify you. We may also ask to see your driver’s license or other identifying documents.”

FLAGSTAR BANK’S POLICY

Flagstar Bank may request the repurchase of any loan that is found to contain evidence of fraud.

SECURE AND FAIR ENFORCEMENT FOR MORTGAGE LICENSING ACT

The Secure and Fair Enforcement for Mortgage Licensing Act (SAFE) requires all loan originators to register with the Nationwide Mortgage Licensing System and Registry (NMLS) and maintain this registration. All loans with an application taken date on or after July 1, 2010 must be in compliance with this Act.

When completing the loan officer’s NMLS information, originators have three options:

1. Import a Fannie Mae 3.2/3.4 file; all information previously contained within those fields will auto-populate into the Loan Officer and Company NMLS fields; or,
2. Select the loan officer’s name from the *Loan Officer* drop down menu. This option will fill in the appropriate fields with the NMLS information stored with the user login, and will overwrite any added data into the *First Name*, *Last Name*, and *NMLS ID* fields; or
3. Manually input the *First Name*, *Last Name*, and *NMLS ID* information into those fields. This option should be utilized if the loan officer NMLS information is not available in either option #1 or #2 above.

The company NMLS ID number is automatically populated based on the Seller ID associated to the login used to register the loan.

AGENCY-REGULATED INSTITUTIONS

The SAFE Act requires residential mortgage loan originators who are employees of agency-regulated institutions to be registered with the [Nationwide Mortgage Licensing System and Registry](#). The final rule also requires that agency-regulated institutions and mortgage loan originators employed by those institutions obtain a unique identifier through the registry.

Effective with an application taken date on or after July 29, 2011, any mortgage loan originator employed by an agency-regulated institution that is subject to the registration requirements will be prohibited from originating residential mortgage loans without first obtaining a federal registration.

All agency-regulated institutions and mortgage loan originators will be required to provide the NMLS issued unique identifier to Flagstar Bank. Please refer to the *SAFE Act NMLS User Guide*, [Doc. #2445](#)

or *SAFE Act* – *Input NMLS Numbers QRG*, [Doc. #2441](#) for instructions on inputting the unique identifier into our system.

OFFICE OF FOREIGN ASSETS CONTROL (OFAC)

All U.S. persons, including U.S. banks, bank holding companies and non-bank subsidiaries are required to screen their customers against a master list published by the Office of Foreign Assets Control (OFAC) of the U.S. Department of the Treasury.

This screening ensures that no one conducts business with persons or organizations involved in terrorism, international narcotics trafficking, or activities related to the proliferation of weapons of mass destruction. Failure to comply with this legal requirement can result in corporate or personal fines of up to \$10 million and up to 30 years in jail.

Flagstar Bank has an Economic Sanctions Policy in place. All mortgage loan borrowers are screened through software to ensure that Flagstar does not conduct business with persons or organizations that are on the master list as published by OFAC.

Flagstar requires all Delegated Underwriting Sellers to screen their borrowers against a master list published by the Office of Foreign Assets Control (OFAC) of the U.S. Department of the Treasury.

FLAGSTAR BANK'S POLICY

Flagstar Bank will request the repurchase of any loan where the borrower appears on a list or notice of suspicion from a government authority.

Identity Theft Prevention

The Identity Theft Red Flags and Address Discrepancies under the Fair and Accurate Credit Transactions Act of 2003 requires lenders such as banks, finance companies, automobile dealers, mortgage brokers, utility companies, and telecommunication companies to establish an Identity Theft Protection Program to detect, prevent and mitigate identity theft.

Duties of Users of Consumer Reports Regarding Address Discrepancies

The FCRA requires consumer reporting agencies to notify the person requesting a credit report whenever the address of the consumer in the request substantially differs from the address the consumer reporting agency has in its files. If such a notice is received, steps must be taken to form a reasonable belief that the user knows the true identity of the person to whom the consumer report pertains such as:

1. Verify the information on the consumer report with the consumer
2. Compare the information in the consumer report with consumer information obtained and used to verify the consumer's identity
3. Compare to information obtained from third parties

The CAN-SPAM Act

The CAN-SPAM Act ("the Act") created by the Federal Trade Commission Act was set in place to regulate commercial electronic mail. The Act set rules for commercial electronic mail, established requirements for commercial messages and has provided the right for recipients to request that companies like Flagstar Bank discontinue electronically messaging them. The Act also provides for tough penalties for violations of the Act.

The CAN-SPAM Act does not solely apply to bulk electronic mail messages. It covers **all** commercial messages. The Act defines this as “any electronic mail message the primary purpose of which is the commercial advertisement or promotion of a commercial product or service,” including electronic messages that promote content on an internet website operated for a commercial purpose, such as ApplywithFlagstar.com or Flagstar.com.

The Act makes no exception for business-to-business electronic mail. This means all electronic mail messages not limited to former customers, Realtors, and builders must comply with the Act when sent with the intent of advertising commercial products. Each separate electronic message in violation of the CAN-SPAM Act is subject to penalties.

REQUIREMENTS OF CAN-SPAM

DO NOT USE FALSE OR MISLEADING HEADER INFORMATION

The initiator of the message must be clear to accurately identify the person or business who initiated the message. The “*From*,” “*To*,” “*Reply-To*” and routing information, including the originating domain name and email address, must not be deceiving to the recipient.

DO NOT USE DECEPTIVE SUBJECT LINES

The subject line must accurately reflect the content of the message. In essence, the subject line of electronic message campaigns should not attempt to trick the recipient. The general point of the message body should coincide with what is listed in the subject line.

IDENTIFY THE MESSAGE AS AN ADVERTISEMENT

Your message must disclose clearly and conspicuously that your message is an advertisement. Located anywhere within your email there must be a reference that the electronic message is an advertisement. Please be aware that this is not to be hidden within the message content, any person should be able to clearly identify the disclosure of your message as an advertisement.

TELL RECIPIENTS WHERE YOU ARE LOCATED

Your message must include your valid physical postal address. The address used must be a valid Flagstar-approved address, such as your Home Loan Center or partnered Banking Center.

RECIPIENTS MUST KNOW HOW TO OPT OUT

Your message must include a clear and conspicuously displayed explanation of how the recipient can opt out of getting email from you in the future. The notice must be included in a way that is easy for the average person to recognize, read and understand.

HONOR OPT-OUT REQUESTS PROMPTLY

The mechanism for the recipient to opt out of receiving future emails must be capable of receiving such requests for at least 30 days after the original message was sent. The recipient’s opt-out request must be honored within 10 business days of its receipt.

MONITOR WHAT OTHERS ARE DOING ON YOUR BEHALF

The Act makes it clear that even if you hire another company to handle your email marketing, you can’t contract away your legal responsibility to comply with the law. Both the company whose product is promoted in the message and the company that actually sends the message may be held legally responsible.

